



Office of Public Affairs
U.S. Department of Justice



California Man Pleads Guilty in Connection with \$16M Hospice Fraud Scheme and Money Laundering Scheme

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For Immediate Release

Office of Public Affairs

A California man pleaded guilty today in connection with his role in defrauding Medicare of nearly \$16 million through sham hospice companies and laundering the fraudulent proceeds.

According to court documents, Juan Carlos Esparza, 33, of Valley Village, schemed with others, including co-defendants Petros Fichidzhyan and Karpis Srapyan, to bill Medicare for hospice services that were not medically necessary and never provided. From July 2019 until January 2023, the defendant and his co-defendants operated four sham hospices, one of which, House of Angels Hospice, was owned by Esparza. The defendants controlled the other three hospices, even though the listed owners were foreign nationals. Fichidzhyan, Esparza, and Srapyan concealed the scheme by using foreign nationals' personal identifying information to open bank accounts, submit information to Medicare, and sign property leases. They also controlled and used cell phones in the names of the foreign nationals in furtherance of the scheme. In total, Medicare paid the sham hospices nearly \$16 million.

Fichidzhyan, Esparza, and Srapyan worked with others, including their co-defendants Susanna Harutyunyan and Mihran Panosyan, to launder the fraudulent proceeds. As part of the money laundering scheme, Esparza and his co-defendants maintained fraudulent identification documents and other documents associated with the sham hospices at the House of Angels office, and bank documents, checkbooks, and credit and debit cards in the names of purported foreign owners in a pair of residential properties. After defrauding Medicare, Esparza and his co-defendants moved the funds between various assets and accounts, including bank accounts in the names of shell companies, to conceal the scheme. Esparza spent \$90,000 in fraudulent proceeds to purchase a vehicle.

Esparza pleaded guilty to health care fraud and transactional money laundering and is scheduled to be sentenced on Oct. 6. He faces a maximum penalty of 10 years in prison for healthcare fraud and a

maximum penalty of 10 years in prison for transactional money laundering. A federal district court judge will determine his sentence after considering the U.S. Sentencing Guidelines and other statutory factors.

Co-defendant Petros Fichidzhyan previously pleaded guilty to health care fraud, aggravated identity theft, and money laundering. In May, Fichidzhyan was [sentenced](#) to 12 years in prison. Co-defendant Mihran Panosyan [pleaded guilty](#) to money laundering last month and is scheduled to be sentenced Sept. 8. Co-defendant Karpis Srabyan [pleaded guilty](#) to conspiracy to commit health care fraud and money laundering and is scheduled to be sentenced on Oct. 6. Co-defendant Susanna Harutyunyan [pleaded guilty](#) to money laundering and is scheduled to be sentenced on Nov. 17. Harutyunyan faces deportation.

The guilty plea today is the most recent conviction in the Justice Department's ongoing effort to combat hospice fraud in the greater Los Angeles area. Last year, a doctor was [convicted at trial](#) for his role in a scheme to bill Medicare for hospice services patients did not need, and two other defendants [were sentenced](#) for their roles in a hospice fraud scheme.

Acting Assistant Attorney General Matthew R. Galeotti of the Justice Department's Criminal Division, Assistant Director in Charge Akil Davis of the FBI Los Angeles Field Office, and Deputy Inspector General for Investigations Christian J. Schrank of the Department of Health and Human Services Office of Inspector General (HHS-OIG) made the announcement.

The FBI and HHS-OIG are investigating the case.

Trial Attorneys Sarah E. Edwards, Allison L. McGuire, and Michael Bacharach of the Criminal Division's Fraud Section are prosecuting the case, and Assistant U.S. Attorney Tara B. Vavere for the Central District of California is handling asset forfeiture.

The Fraud Section leads the Criminal Division's efforts to combat health care fraud through the Health Care Fraud Strike Force Program. Since March 2007, this program, currently comprised of nine strike forces operating in 27 federal districts, has charged more than 5,800 defendants who collectively have billed federal health care programs and private insurers more than \$30 billion. In addition, the Centers for Medicare & Medicaid Services, working in conjunction with HHS-OIG, are taking steps to hold providers accountable for their involvement in health care fraud schemes. More information can be found at www.justice.gov/criminal-fraud/health-care-fraud-unit.

An indictment is merely an allegation. All defendants are presumed innocent until proven guilty beyond a reasonable doubt in a court of law.

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